For larger thefts—the $5ish billion Madoff stole and the $8 or so missing billions from FTX—recoveries are often much higher. It's easy to recklessly blow a few million, but spending billions in a "Brewster's Millions" way that is unrecoverable is more difficult.[261]

But the recovered losses are what the defrauded clients had invested—not the make-believe returns the fraudster told you about. For many long-time Madoff clients, the damage was not the stolen 9%, but decades of missed opportunity.

It was not so much money that Madoff stole as it was time.

If you gave Bernie a million dollars in 1985, you got ~$910,000 back by 2015. Over the same period, a million dollars in the S&P 500 would have grown at an annualized rate of 11%, appreciating 2,257%. The $90,000 Madoff stole is nothing compared to the 30 years of missed compounding. By the time you got that 91% of your million dollars back, it *should have* been worth $23,567,689.[262]

Hence, stolen opportunity costs were the true Madoff losses.

If only Madoff was as good at understanding compounding as he was at lying and stealing. His math failure screwed his clients out of billions of dollars of ordinary market appreciation.

According to Dante's *Inferno*, fraud sends you to Malebolge, the eighth circle of hell. It is a complex area of ten pits leading to even deeper levels of torture and damnation. That seems about right for Madoff.

The Belfers weren't the only billionaires who made terrible financial decisions—lots of ultra-wealthy people do. Up next, we look at another way to lose billions of dollars, just by pouring half of your total wealth into one single concentrated investment…

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249 You'll see…